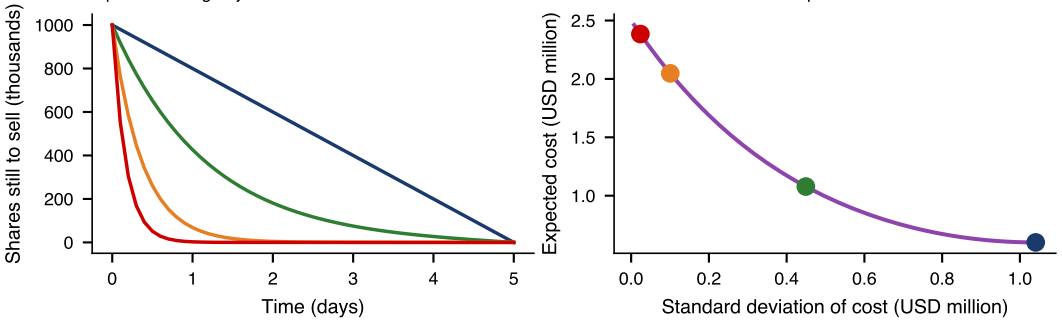
Optimal trading trajectories
Shares still to sell (thousands)
1000
800
600
400
200
0
0
1
2
3
4
5
Time (days)
Cost versus risk of the liquidation
Expected cost (USD million)
2.5
2.0
1.5
1.0
0.0
0.2
0.4
0.6
0.8
1.0
Standard deviation of cost (USD million)
Risk-neutral, λ = 0 (sell evenly)
λ = 2e-6
λ = 2e-5
λ = 1e-4 (very risk averse)
Efficient frontier (N = 5 days)